Management's Discussion and Analysis

THE BUSINESS

Canada Bread Company, Limited ("Canada Bread" or "the Company"), 89.8% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and specialty fresh pasta and sauces. The Company employs approximately 8,000 people at its operations across North America and in the United Kingdom ("U.K.").

FINANCIAL OVERVIEW

In 2009, Adjusted Operating Earnings[i] increased to $120.5 million compared to $97.6 million in the prior year and Adjusted Earnings per Share[i] increased to $3.20 per share from $2.87 per share in 2008. Net earnings increased to $77.5 million in 2009 compared to $64.9 million in the prior year, while basic earnings per share increased to $3.05 from $2.55 in the prior year. All figures are reported in Canadian dollars except as otherwise specified.

(i) Refer to Non-GAAP measures on Page 2.

The growth in Adjusted Operating Earnings in 2009 mostly reflected normalized margins in the fresh and frozen North American and specialty fresh pasta and sauces operations due to the combination of prior year price increases and lower commodity costs. Partially offsetting margin improvements in these businesses was the impact of lower earnings in the Company's U.K. bakery operations and fresh sandwich business. Adjusted Operating Earnings in 2008 were impacted as pricing action lagged increases in the cost of wheat and energy which resulted in short-term margin erosion.

SELECTED FINANCIAL INFORMATION

The following is a summary of audited financial information for the three years ended December 31, 2009:

(in thousands of dollars except "EPS" information)	2009	2008	2007
Sales	$ 1,705,788	$ 1,708,330	$ 1,513,179
Adjusted Operating Earnings[i]	$ 120,537	$ 97,632	$ 129,454
Net earnings	$ 77,478	$ 64,936	$ 83,751
Basic and diluted EPS	$ 3.05	$ 2.55	$ 3.30
Adjusted EPS[i]	$ 3.20	$ 2.87	$ 3.31
Total Assets	$ 986,412	$ 994,910	$ 998,182
Net Debt / (Cash)[ii]	$ (50,904)	$ 1,691	$ 34,061
Return on net assets (RONA)[i]	10.2%	9.3%	11.6%
Cash flow from operations	$ 109,046	$ 137,435	$ 122,115
Cash dividends per share	$ 0.24	$ 0.24	$ 0.24

(i) Refer to non-GAAP measures below.

NON-GAAP MEASURES

The Company reports its financial results in accordance with Canadian GAAP. However, the Company has included certain non-GAAP financial measures and ratios in this analysis that Management believes will provide useful insight into the financial performance and condition of the Company. These measures do not have a standardized meaning prescribed by Canadian GAAP and therefore may not be comparable to similarly titled measures presented by other publicly traded companies, nor should they be construed as an alternative to other financial measures determined in accordance with Canadian GAAP. Non-GAAP measures referred to in this analysis include:

a) Adjusted Operating Earnings

"Adjusted Operating Earnings" is defined as earnings from operations before restructuring and other related costs and other income (expense). Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of continuing operations.

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b) Adjusted Earnings per Share ("Adjusted EPS")

"Adjusted EPS" is defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of taxes. Management believes that this is the most appropriate basis on which to evaluate financial results, as restructuring and other related costs are not representative of continuing operations.

Reconciliation of Basic EPS to Adjusted EPS:

(Per share)	2009	2008	2007
Reported EPS	$ 3.05	$ 2.55	$ 3.30
Restructuring and other related costs, net of tax	$ 0.15	$ 0.32	$ 0.12
Tax benefit from lower future tax rates[i]	–	–	$ (0.11)
Adjusted EPS	$ 3.20	$ 2.87	$ 3.31

(i) During 2007, the Company recorded a net tax benefit of $2.8 million related to the enactment of lower future tax rates

c) Return on Net Assets ("RONA")

RONA is calculated by dividing tax-effected earnings from operations before restructuring and other related costs and before interest by average monthly net assets. Net assets are defined as total assets less cash, future tax assets and non-interest bearing liabilities. Management believes that RONA is an appropriate basis on which to evaluate long-term financial performance, and the Company has established an objective for RONA of 11.5%.

d) Earnings Before Interest, Tax, Depreciation and Amortization ("EBITDA")

EBITDA is calculated as earnings from operations before restructuring and other related costs and before interest and income taxes plus depreciation and intangible asset amortization. The Company measures its credit quality using a number of metrics, primarily net debt to EBITDA and EBITDA to interest expense.

e) Net Debt

Net debt is calculated as long-term debt and bank indebtedness, less cash and cash equivalents.

DISCUSSION OF FACTORS IMPACTING THE COMPANY'S OPERATIONS AND RESULTS

Economic Downturn

Management does not believe that the economic downturn had a material impact on the Company's operations and earnings in 2009. The Company experienced a decline in the sales of premium specialty items in its U.K. bakery operations. The Company is not able to predict whether the economic environment will change in 2010, and whether it will positively or negatively impact the Company's results in the coming periods.

Input Prices

"Food for Fuel" initiatives sponsored by the U.S. Government have resulted in increased demand for grains, in particular corn that is used for ethanol production, and decreased land set aside for other crops such as wheat.

Combined with strong demand from export markets and shortfalls in world crops, this resulted in sharp increases during 2007 and early 2008 in the prices of commodities including wheat, corn, barley, soybeans, and crude oil. In the last months of 2008, commodity and fuel prices started to decline, and remained lower throughout 2009 compared to 2008. Crude oil prices progressively and steadily increased throughout 2009, although not to the extent of the mid-2008 increase, which reflected expectations of a global economic recovery and overall higher oil consumption.

As a result, wheat and dairy, the Company's primary input costs, and freight and distribution costs, were lower in 2009 which contributed to restore the Company's cost structure and margins closer to historical expectations.

The following table outlines the change in key commodity indicators that have impacted the Company's business and financial results:

WHEAT (USD PER BUSHEL)[(i)]

	As at December 31	Annual Average	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2009	$ 5.45	$ 6.06	$ 6.32	$ 6.92	$ 5.61	$ 5.41
2008	$ 6.55	$ 10.37	$ 15.04	$ 11.59	$ 8.90	$ 6.32
Change	(16.8)%	(41.6)%	(58.0)%	(40.3)%	(37.0)%	(14.4)%
2007	$ 10.36	$ 6.41	$ 5.05	$ 5.37	$ 7.05	$ 9.11

(i) Daily close prices (Source: Minneapolis Wheat Exchange)

WHEAT (CAD PER BUSHEL)[(i)]

	As at December 31	Annual Average	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2009	$ 5.73	$ 6.83	$ 7.61	$ 7.85	$ 6.14	$ 5.62
2008	$ 7.27	$ 10.61	$ 15.02	$ 11.67	$ 9.16	$ 7.52
Change	(21.2)%	(35.6)%	(49.3)%	(32.7)%	(33.0)%	(25.3)%
2007	$ 10.24	$ 6.84	$ 5.92	$ 5.89	$ 7.32	$ 8.95

(i) Daily close prices (from Minneapolis Wheat Exchange and exchange rates from Bank of Canada)

OIL (USD PER BARREL)[(i)]

	As at December 31	Annual Average	Q1 Average	Q2 Average	Q3 Average	Q4 Average
2009	$ 79.39	$ 61.95	$ 42.91	$ 59.44	$ 68.20	$ 76.06
2008	$ 44.60	$ 99.67	$ 97.86	$ 123.78	$ 118.93	$ 61.50
Change	78.0%	(37.8)%	(56.1)%	(52.0)%	(42.7)%	23.7%
2007	$ 95.95	$ 70.88	$ 58.11	$ 64.94	$ 75.27	$ 90.30

(i) Daily close prices (Source: Cushing, OK WTI Spot Price FOB)

Accelerate Growth and Build Scale: a New Strategic Agenda

Over the last decade, the Company has grown through numerous acquisitions of smaller sized companies in North America and the U.K. Management believes that higher sustained levels of profitable growth can be achieved by accelerating organic growth and increasing supply chain efficiencies primarily in the fresh bakery operations in Canada.

Management expects to increase its focus on expanding into new categories, investing in innovation and meeting the evolving demands of consumers, particularly in the convenience and ready-to-eat categories. With a portfolio of strong, established brands, Management believes the Company is well positioned to capitalize on opportunities to drive organic growth.

Fresh bakery operations comprise an extensive network of mid-sized facilities located across Canada. There is opportunity to consolidate some plants and invest in others, to drive scale efficiencies and provide the capacity to support organic growth and customers needs.

In January 2010, the Company announced a plan to build a new scale fresh bakery plant in southwestern Ontario, which will replace three existing older and smaller facilities located in that region. Management expects that the investments required to build the new plant will amount to approximately $100 million, with an additional $25 million of restructuring and other one-time costs for decommissioning production and employee severance payments. The new plant is expected to commence operations within a year of beginning construction while the closure of the existing plants is expected to start towards the end of 2011.

Management's Discussion and Analysis

System Conversion

The Company has embarked on an initiative to consolidate all of its information technology systems onto a single platform, in order to standardize processes, reduce costs and create a consolidated shared services platform. In December 2008, Management selected SAP software as its new ERP platform and carefully designed an implementation plan to reduce risks and disruptions to the Company's operations during the installations.

In 2009, the Company successfully installed the software in part of its North American Frozen Bakery operations with no material operational disruptions. Further installations, which will involve larger and more complex operations, are planned for 2010. Management expects that the installation of the new system will be substantially complete by the end of 2012.

OPERATING SEGMENTS

The Company reports in two segments: the Fresh Bakery and the Frozen Bakery segments.

The Fresh Bakery segment produces fresh bakery products, sweet goods, sandwiches, and specialty fresh pasta and sauces. The Frozen Bakery segment is comprised of frozen bakery products sold in North America and the U.K. including frozen par-baked and specialty bakery products.

OPERATING REVIEW

Sales by business segment for the three years ended December 31 are as follows:

($ millions)	2009	2008	Change	2007
Fresh Bakery	**$ 1,119.8**	$ 1,094.2	2.3%	$ 945.9
Frozen Bakery	**$ 586.0**	$ 614.1	(4.6%)	$ 567.3
Total Sales	**$ 1,705.8**	$ 1,708.3	(0.1%)	$ 1,513.2

Total sales were $1,705.8 million in 2009, largely consistent with the prior year. Sales in the Fresh Bakery segment grew due to increased sales in the fresh bakery and fresh pasta and sauces operations. Prior year price increases, higher volumes, and favourable product mix contributed to increased sales in these businesses, but were partially offset by a decline in sales volume of fresh sandwiches. Sales in the Frozen Bakery segment declined compared to the prior year driven by lower sales in the Company's U.K. bakeries. Sales growth in the North American frozen bakeries due to the favourable impact of a weaker Canadian dollar, which increases the value of U.S. dollar-denominated sales, was more than offset by a sales decline in the U.K. bakeries. The negative impact of a weaker British pound, and lower sales volumes of specialty and premium products were the main factors for the decline in the sales of the Company's U.K. operations.

Adjusted Operating Earnings by business segment for the three years ended December 31 are as follows:

($ millions)	2009	2008	Change	2007
Fresh Bakery	**$ 91.5**	$ 76.5	19.6%	$ 88.4
Frozen Bakery	**$ 29.0**	$ 21.1	37.4%	$ 41.1
Adjusted Operating Earnings	**$ 120.5**	$ 97.6	23.5%	$ 129.5

Adjusted Operating Earnings for the year increased by 23.5% to $120.5 million driven by margin improvements in the North American bakeries. The full impact of price increases implemented in the first half of 2008, combined with lower commodity costs restored gross margins to more usual levels in the fresh and frozen North American bakeries and fresh pasta and sauces operations in 2009. Partially offsetting improved margins in these businesses were lower margins in the Company's U.K. bakeries and fresh sandwich business along with increased selling, general and administrative expenses.



Fresh Bakery *(Fresh Bakery products, sweet goods, sandwiches, and specialty fresh pasta and sauces)*
Fresh Bakery sales increased 2.3% to $1,119.8 million in 2009 compared to $1,094.2 million in 2008. Sales in the fresh bakery and fresh pasta and sauces businesses benefited from the full impact of price increases implemented in 2008, higher volumes and favourable product mix. These increases were partially offset by lower volumes in the fresh sandwich business.

Adjusted Operating Earnings for the year increased to $91.5 million compared to $76.5 million in the prior year. Gross margins in fresh bakery and the pasta and sauces businesses were restored to more normal levels during the year, driven by the combination of prior year price increases and declining commodity costs such as wheat, dairy and fuel. The benefit of lower input costs were partly offset by a weaker Canadian dollar, which increased the cost of U.S. dollar priced flour and other ingredients. Additionally, increased sales volumes and capital improvements contributed to expand margins during 2009. During the year, the fresh sandwich business, which includes the acquisition of Aliments Martel, Inc. ("Martel") in 2008, did not meet expectations due to lower sales and higher operating costs. Management considers this business to be an important part of its growth strategy and is actively working on initiatives to improve its profitability.

During the year, marketing and selling expenses increased mainly in support of innovation and volume growth. Several unique fresh bakery products were launched throughout 2009. The Healthy Way® with ProCardio Recipe™ line was launched in early 2009. It is the first line of fresh bakery products specifically targeting the heart health segment. Cadbury Snack Cakes were launched late in 2009, and target the premium snack category, while Oven Fresh™, an innovative line of white and multigrain fresh and par-baked breads aimed at capturing the under-developed dinner bread market was also introduced. Additionally, the focus on improving the results of the fresh sandwich business led to an increase in overall management costs compared to last year.

Frozen Bakery
(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)
Frozen Bakery sales decreased by 4.6% to $586.0 million from $614.1 million in 2008 due to an unfavourable currency shift, lower volumes and a change in mix from specialty to staple products primarily in the U.K. operations. The appreciation of the Canadian dollar against the British pound compared to the prior year contributed to lower sales from the U.K. bakeries. Additionally, a shift in consumer purchases in the U.K, which can be partially attributed to the economic downturn, impacted the U.K. operations as their product portfolio has traditionally been more focused towards premium specialty bakery products, such as Italian breads and specialty pastries. The sales decline of premium products was partially mitigated by increased bagel sales. Management is focused on initiatives to sustain sales volumes and expand product offerings that deliver value at reasonable prices. In addition, Management anticipates that purchases of premium bakery products will resume as economic conditions improve. Partially offsetting the decline in sales in the U.K. bakeries were increased sales in the North American frozen bakeries, mostly driven by a weaker Canadian dollar, which increases the value of U.S. dollar-denominated sales.

Adjusted Operating Earnings increased to $29.0 million in 2009 compared to $21.1 million in the prior year. This was driven by restored margins in the North American frozen bakeries, partly offset by lower earnings in the U.K. operations.

In North America, the combination of price increases implemented in 2008 and a decline in commodity costs during the year, mainly wheat and fuel, contributed to restore margins to more usual levels. Additionally, the closure of a bagel facility in Toronto, Ontario, in late 2008, and the transfer of bagel production to Roanoke, Virginia, in 2009 contributed to reduce overheads and improve manufacturing efficiencies. The Roanoke bagel line was commissioned during the first quarter of 2009 and increased utilization throughout the year. Partly offsetting improved earnings was the impact of sales volume softness and unfavourable product mix.

Earnings in the U.K. bakery operations declined compared to the prior year, driven by lower sales volumes and the related impact on manufacturing overheads. In 2009, the Company received final insurance proceeds of $2.5 million (recorded in Other Income), compared to $14.7 million in 2008. These insurance proceeds covered business interruption losses and operating impacts resulting from an oven fire which occurred in 2008. A new oven was commissioned in the summer of 2008 and was operating at full capacity by the first half of 2009. Concurrently, bagel demand was restored to historical levels.

Management's Discussion and Analysis

Gross Margin

Gross margin increased to 20.0% in 2009 compared to 17.4% in 2008, driven by price increases implemented in the first half of 2008 and lower commodity prices throughout 2009. Increased operating costs and lower sales volumes in the fresh sandwich business and U.K. operations partially mitigated the overall improvement in gross margin.

Selling, General & Administrative Expenses

Selling, general and administrative expenses increased to $219.8 million in 2009 compared to $199.0 million in 2008, due to increased marketing and promotional spending on fresh bakery and pasta and sauce products, mainly to support new product launches. Increased other expenses also included an increased focus on improving the results of the fresh sandwich business and higher incentive payments. Costs reductions in the Company's U.S. operations were more than offset by the change in the U.S. to Canadian dollar exchange rate.

Interest Expense

Interest expense was $5.1 million for the year compared to $7.8 million in 2008. The decrease was a result of lower average debt balances compared to the previous year and lower short-term interest rates. During the second quarter of 2009, the Company settled its obligation under two interest rate swaps with Maple Leaf Foods Inc. for net proceeds of $8.5 million. The cumulative hedging loss on the swap, which has been deferred in other comprehensive income, is being amortized to interest expense over the next five years. The Company's average effective cost of borrowing for 2009 was approximately 4.5% (2008: 5.3%).

Other Income

Other income for the year was $2.4 million compared to $14.7 million in 2008. Other income received in both years mostly comprised insurance proceeds received to cover business interruption losses resulting from an oven fire at a facility in the U.K.

Income Taxes

Income tax expense increased to $35.5 million from $29.1 million in 2008 and the Company's effective tax rate increased from 30.9% in 2008 to 31.4% in 2009.

A reconciliation between statutory tax rates and the Company's effective tax rate is set out in Note 16 of the Consolidated Financial Statements. Following is a discussion of certain reconciling amounts:

- During the year, the Company recorded restructuring and other related costs of $4.9 million (2008: $10.5 million) that had a tax effect of $1.2 million (2008: $2.4 million), for an effective tax rate of 23.6%. The lower rate on the recovery booked was primarily driven by lower tax rates applied to deductions available in later years.
- During the third quarter of 2006, the Company recorded a tax expense of $21.2 million to write-down future tax assets related to its U.S. frozen bakery business. The total valuation allowance taken by the Company, on account of its accumulated tax losses as of December 31, 2009 is $24.1 million (US$23.0 million). (December 31, 2008 – $30.6 million and US$25.2 million)
- The Company's income tax rate varies and could increase or decrease based on the amounts of taxable income derived and from which source, any amendments to tax laws and income tax rates and changes in assumptions and estimates used for tax assets or liabilities.

Restructuring and other related costs

During 2009, the Company recorded $4.9 million in restructuring and other related costs ($3.7 million after-tax). These costs were primarily comprised of severances and impairment of assets related to the Company's announcement to consolidate its pasta and sandwich operations and recorded $3.5 million which included severances and a write down of $1.2 million related to the discontinuance of the Martel brand name. The balance of the restructuring costs was incurred in connection with the ongoing restructuring initiatives of the Company.

During 2008, the Company recorded $10.5 million in restructuring and other related costs ($8.1 million after-tax) related to the Toronto bagel facility closure and the closure of two small bakery operations in the U.K. in the second half of 2008.



Pension Expense

Pension expense for the year was $11.8 million compared to $10.9 million in 2008. Components of pension expense are provided in Note 17 to the Consolidated Financial Statements.

In the normal course of business, the Company provides post-retirement pension benefits to its employees under both defined contribution and defined benefit pension plan arrangements. The assets of the defined benefit plans are invested primarily in foreign and domestic fixed income and equity securities, which are subject to fluctuations in market prices. In addition, the discount rates used to perform the actuarial calculation of the plan liabilities are also based on long-term market interest rates. Fluctuations in these market prices and rates can impact pension expense and funding requirements.

The Company's contributions are funded through cash flows generated from operations and management anticipates that future cash flows from operations will be sufficient to fund expected future contributions.

Acquisitions and divestitures

On January 29, 2008, the Company acquired the shares of Martel, a manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for an initial purchase price of $44.6 million plus contingent consideration of up to $22.6 million, based on financial performance over three years post-acquisition. During 2009, the Company finalized the purchase price allocation for this acquisition, allocating $15.4 million to the identifiable net tangible assets of Martel at the acquisition date and $29.2 million to goodwill and intangible assets. The acquired intangible assets include $1.5 million allocated to trademarks that were being amortized on a straight-line basis over ten years and $1.7 million allocated to customer relationships that are being amortized on a straight-line basis over 20 years.

There were no acquisitions or divestitures in 2009.

Transactions with Related Parties

The Company's majority shareholder, Maple Leaf, and its affiliates, other than Canada Bread and its affiliates, are related parties. It is the Company's policy to conduct all transactions and settle all balances with related parties on arm's length terms and conditions.

On May 28, 2009, the Company paid $8.5 million to Maple Leaf in settlement of its obligations under two interest rate swaps. Included in accumulated other comprehensive loss is $8.0 million of unrealized derivative losses as at December 31, 2009, which will be amortized to interest expense over the next 5 years.

On January 2, 2008, Maple Leaf and Canada Bread settled a swap which had been designated as a hedge of the debt between the companies. The Company received $80.6 million from Maple Leaf on the settlement.

On September 2, 2008, the Company amended its primary credit facility provided by Maple Leaf. The effect of the amendment was an extension of the maturity date to December 27, 2011 and a modest increase in the pricing to reflect increases in market pricing for similar loans. The facility is unsecured and is subject to certain financial covenants.

Maple Leaf provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf management time for operating involvement, M&A transactions, and access to bulk purchasing programs. Fees paid to Maple Leaf in 2009 for these services pursuant to a Management and Affiliation Agreement entered into in August 1995 were $17.5 million (2008: $16.6 million).

During 2009, the Company received certain information system services from Maple Leaf for a cost of $17.8 million (2008: $11.8 million). The increase reflects a centralization of the information system support teams of the Company. The Company's support teams, which had previously been employees of the Company, were merged with Maple Leaf's information technology group in early 2009. Since more service functions were assumed by Maple Leaf, charges to the Company through the Management and Affiliation Agreement increased accordingly. Additionally, during the year, SAP was installed in part of the Company's North American Frozen Bakery operations which resulted in an increase in related service fees.

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During 2009, the Company received certain engineering services from Maple Leaf for a cost of $0.5 million (2008: $0.8 million).

During 2009, the Company received certain marketing and consumer services from Maple Leaf for a cost of $2.9 million (2008: $1.1 million). The increase in marketing and consumer services mainly reflects the Company's focus on developing and launching new products.

CAPITAL RESOURCES AND LIQUIDITY

Cash Flow from Operations

Cash flow from operating activities for the year was $109.0 million compared to $137.4 million in 2008. The decrease is largely attributable to higher working capital levels and reduced accounts payable, which was partially offset by an increase in net earnings.

Debt Facilities

Historically, the Company generates a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding and surplus liquidity.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next twelve months.

The Company and its subsidiaries had aggregate credit facilities (excluding accounts receivable securitization programs) of $289.0 million (2008: $291.1 million), of which $15.7 million (2008: $27.9 million) was utilized (including $8.9 million in respect of letters of credit) at December 31, 2009 (2008: $8.5 million).

The Company's principal facility is a $250.0 million revolving term facility with Maple Leaf, maturing on December 27, 2011. This unsecured facility is subject to certain financial covenants. As at December 31, 2009, the Company was in compliance with all of its financial covenants.

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable financing facility. At year end, the Company had $70.0 million (2008: $70.0 million) in trade accounts receivable being serviced under this facility. The facility matures on June 30, 2010 and the Company is currently examining options to extend or replace it. This facility is accounted for as an off-balance sheet transaction in accordance with Generally Accepted Accounting Principles.

Details of these facilities are described in Notes 3 and 8 to the Consolidated Financial Statements.

Capital Expenditures

Capital expenditures for 2009 were $41.7 million compared to $54.2 million in the prior year.

The Company continued to invest in initiatives that commenced in prior years and completed in 2009 to generate efficiencies in manufacturing. These included the commissioning of a new bagel production line in the Company's frozen bakery facility in Roanoke, Virginia, capacity expansion in its fresh pasta and sauces operations and the realignment and expansion of production capabilities in the U.K.

As the Company launches initiatives to support its new strategic agenda, capital investment will be required in the coming years to support supply chain optimization primarily in its fresh bakery operations, and product development across all businesses.



Contractual Obligations

Following is a summary of certain of the Company's material contractual obligations as at December 31, 2009:

		Payments due by fiscal year						
($ millions)	Total	2010	2011	2012	2013	2014	After 2014
Long-term debt	$ 2.5	$ –	$ 2.5	$ –	$ –	$ –	$ –
Lease obligations	60.9	18.2	13.2	10.9	9.0	$ 5.6	4.0
Total contractual obligations	**$ 63.4**	$ 18.2	$ 15.7	$ 10.9	$ 9.0	$ 5.6	$ 4.0

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program for at least the next 12 months. Additional details concerning financing are set out in the Notes to the Consolidated Financial Statements.

FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES[i]

Through normal course of business the Company is exposed to financial and market risks that have the potential to affect its operating results. In order to manage these risks the Company operates under risk management policies and guidelines which govern the hedging of price and market risk in the foreign exchange, interest rate, and commodity markets and funding and investing activities.

The Company engages in hedging to manage price and market risk associated with core operating exposures, and does not engage in significant trading activity of a speculative nature.

The Company's Risk Management Committee meets frequently to discuss current market conditions, and review current hedging programs and trading activity, and to approve any new hedging or trading strategies.

In order to limit the impact of market price fluctuations on operating results, core hedging programs are designated as hedging relationships and managed as part of the Company's hedging accounting portfolio.

CAPITAL

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt or internal cash flows.

The Company uses leverage in its capital structure to reduce the cost of capital. The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to EBITDA[ii] and EBITDA[ii] to interest expense.

In addition to senior debt and equity, the Company may use operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2009, total equity increased by $38.7million to $747.1 million.

CREDIT RISK

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses.

(i) For a comprehensive discussion on the Company's risk management practices and derivative exposures, please refer to the Financial Instruments note in the Consolidated Financial Statements.
(ii) Refer to Non-GAAP measures on Page 3.

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The Company maintains an allowance for uncollectible accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. As at December 31, 2009, the Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the credit quality of the Company's major customers, as well as the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with a small number of large grocery retailers. The Company's three largest customers comprise approximately 37% of consolidated accounts receivable as at December 31, 2009 and the two largest customers comprise approximately 32% of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks). The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets. As at December 31, 2009, accounts receivable amounted to $63.6 million (2008: $57.1 million).

LIQUIDITY RISK

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize re-financing risk.

As at December 31, 2009, the Company had available undrawn committed credit of $247.5 million under the terms of its principal credit facility with Maple Leaf.

MARKET RISK

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company does from time to time use interest rate swaps to mitigate the risk from variable cash flows including the interest component associated with the securitization program by effectively converting certain variable rate borrowings to fixed rate borrowings. During 2009, the Company retired $70.0 million of interest rate swaps which were hedging $70.0 million of floating rate debt. On May 28, 2009, the Company paid Maple Leaf $8.5 million to settle its obligations under two interest rate swaps. Included in accumulated other comprehensive loss is $8.0 million of unrealized derivative losses as at December 31, 2009, which will be amortized to interest expense over the next five years.

As a result of retiring the swaps, as at December 31, 2009, 100.0% of the Company's outstanding debt is exposed to interest rate movements (2008: 16.1%).

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates. The Company enters into currency derivative agreements to manage its current and anticipated exposures in the foreign exchange markets.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars. The primary currency that the company is exposed to is the U.S. dollar through the purchase of wheat and through its U.S. operations.

The Company uses foreign exchange contracts to manage foreign exchange exposures. Qualifying derivative contracts in U.S. dollars are designated as hedges within the Company's hedge accounting portfolio, and are accounted for as cash flow hedges.



Commodity Price Risk

The Company is directly exposed to price fluctuations in commodities such as wheat, other agricultural products and fuel. In order to minimize the impact of these price fluctuations on the Company's operating results, the Company may use fixed price contracts with suppliers, exchange-traded futures and options, and over-the-counter derivative products.

The Company applies the normal purchases classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information for the twelve interim periods ended December 31, 2009 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2009**	**$ 413,125**	**$ 435,918**	**$ 424,555**	**$ 432,190**	**$ 1,705,788**
	2008	$ 382,869	$ 437,418	$ 443,086	$ 444,957	$ 1,708,330
	2007	$ 358,337	$ 375,723	$ 385,849	$ 393,270	$ 1,513,179
Net earnings	**2009**	**$ 14,882**	**$ 22,537**	**$ 25,050**	**$ 15,009**	**$ 77,478**
	2008	$ 12,211	$ 6,538	$ 19,727	$ 26,460	$ 64,936
	2007	$ 17,910	$ 21,225	$ 21,087	$ 23,529	$ 83,751
Earnings per Share						
Basic and diluted EPS	**2009**	**$ 0.59**	**$ 0.89**	**$ 0.99**	**$ 0.59**	**$ 3.05**
	2008	$ 0.48	$ 0.26	$ 0.77	$ 1.04	$ 2.55
	2007	$ 0.70	$ 0.84	$ 0.83	$ 0.93	$ 3.30
Adjusted EPS (i)	**2009**	**$ 0.60**	**$ 0.89**	**$ 1.00**	**$ 0.70**	**$ 3.20**
	2008	$ 0.52	$ 0.30	$ 0.93	$ 1.13	$ 2.87
	2007	$ 0.76	$ 0.84	$ 0.83	$ 0.88	$ 3.31

(i) Refer to Non-GAAP Measures on Page 3

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at **www.canadabread.ca**.

SHARE CAPITAL AND DIVIDENDS

During 2009 and 2008, the Company declared an aggregate yearly dividend of $0.24 per common share. This represents aggregate dividend payments of $6.1 million in each of 2009 and 2008.

As of December 31, 2009, there were 25,416,812 common shares of the Company issued and outstanding.

ENVIRONMENT

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the Company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Corporate Governance and Human Resources Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental experts. In 2009, the Company completed deployment of its Environmental Excellence program at more than 80% of its manufacturing facilities. This program establishes a standard environmental management system across the Company's various business interests. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. However,

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there can be no assurance that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

As a food company, there are health, environmental and social issues that go beyond short-term profitability that management believe must shape its business if the Company is to realize a sustainable future. On the environmental front, the Company is undertaking multiple initiatives in conjunction with key customers to reduce packaging, track greenhouse gas emissions and the mileage it takes to produce and deliver food products. Increasingly sound environmental practices are becoming a key component of maintaining a competitive advantage. In 2009, the Company completed a comprehensive planning process to establish its environmental sustainability priorities and develop longer-term environmental objectives. Priorities such as greenhouse gas and energy management, water conservation, waste reduction, packaging and supply chain environmental sustainability were established.

RISK FACTORS

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this document. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

Systems Conversion and Standardization

The Company regularly implements process improvement initiatives to simplify and harmonize its systems and processes to optimize performance. The Company is currently undertaking an initiative to replace its information systems with SAP, an integrated ERP system. During the year, the Company completed the successful installation of the system in some business units. The transformation of these business systems and installation into all business units is expected to be substantially complete in 2012. The Company has dedicated considerable resources to the implementation of SAP and carefully designed an implementation plan to reduce operational disruptions. However, there can be no guarantee that the implementation will not disrupt the Company's operations, or be completed within the identified period of time and budget. In addition, there cannot be any guarantee that the implementation will improve current processes or operating results. Any of these failures could have a material adverse impact on the Company's financial condition and results of operations.

Foreign Currencies

A significant amount of the Company's revenues and costs are either denominated in or directly linked to foreign currencies (primarily U.S. Dollars). Due to the diversity of the Company's operations, normal fluctuations in other currencies do not generally have a material impact on the Company's profitability in the short-term due to either "natural hedges" and offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or ability in the near-term to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have and has had a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices, or where possible or necessary, reducing costs. However, these strategies may not always be successful. The Company's United Kingdom operations may also be affected in a similar manner, adversely or favourably, by changes in exchange rates between the U.S. and Canadian dollars, on the one hand, and the British pound on the other.

Commodities

The Company is a purchaser of certain commodities, such as wheat and energy (fuel, natural gas and electricity), in the course of normal operations. Commodity prices are subject to fluctuation and such fluctuations are sometimes severe. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short-term but



such hedges may not be successful in mitigating this commodity price risk. On a longer-term basis, the Company manages the risk of increases in commodities and other input costs by increasing the prices it charges to its customers. Any fluctuations in commodity prices that the Company is unable to properly hedge or mitigate could have a material adverse effect on the Company's financial condition and results of operations.

Consolidating Customer Environment

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and changing customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

Food Safety and Consumer Health

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability, and the potential costs and disruptions of a product recall. The Company's products are susceptible to contamination by disease producing organisms, or pathogens. Because these pathogens are generally found in the environment, there is a risk that they, as a result of food processing, could be present in the Company's products. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems and by maintaining prudent levels of insurance. However, the Company cannot assure that such systems, even when working effectively, will eliminate the risks related to food safety. The Company could be required to recall certain of its products in the event of contamination, adverse test results or as precautionary measures. Any product contamination could subject the Company to product liability claims, adverse publicity and government scrutiny, investigation or intervention, resulting in increased costs and decreased sales. Any of these events could have a material adverse impact on the Company's operations and financial results.

Business Acquisitions and Capital Expansion Projects

While the Company's focus has shifted from acquisitions to integration of existing operations and supply chain optimization, the Company may continue to review opportunities for strategic growth through acquisitions in the future. These acquisitions may involve large transactions or realignment of existing investments, and present financial, managerial and operational challenges, which if not successfully overcome may reduce the Company's profitability. These risks include the diversion of management attention from existing core businesses, difficulties integrating or separating personnel and financial and other systems, adverse effects on existing business relationships with suppliers and customers, inaccurate estimates of fair value made in the accounting for acquisitions and amortization of acquired intangible assets which would reduce future reported earnings, potential loss of customers or key employees of acquired businesses, and indemnities and potential disputes with the buyers or sellers. Any of these activities could materially affect the Company's product sales, financial condition and results of operations.

In January 2010, the Company announced its intent to construct a new scale fresh bakery plant and close three older plants in Ontario. The start up of new plants presents a number of risks including: errors in the assessment of labour rates and other operating costs, cost overruns in construction, delays in completion of the project, disruptions to service levels during the construction period, loss of reputation with customers and adverse impacts on the quality of the Company's products. The closure of existing plants carries risks such as, inaccurate assessments of the costs of decommissioning, disruptions in service during closure, and errors in the estimates of residual value of the assets. Altogether, these risks could result in a material impact to the Company's sales, financial condition and results of operations.

Regulation

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates, including the Canadian Food Inspection Agency and the Ministry of Agriculture in Canada. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company strives to maintain material compliance with all laws and regulations and maintains all material permits and licenses relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance

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with such laws and regulations or that it will be able to comply with such laws and regulations in the future. Failure by the Company to comply with applicable laws and regulations could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company's financial condition and results of operations. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues or food ingredients, food safety and market and environmental regulation that, if adopted, may increase the Company's costs. There can be no assurance that additional regulation will not be enacted. If any of these or other proposals are enacted, the Company could experience a disruption in the supply or distribution of its products, increased operating costs, and significant additional costs for capital improvements. The Company may not be unable to pass on the cost increases associated with such increased regulatory burden to its customers without incurring volume loss as a result of higher prices. Any of these events could have a material adverse effect on the Company's financial condition and results of operations.

Legal Matters

In the normal course of its operations, the Company becomes involved in various legal actions relating to its commercial relationships, employment matters, and product liabilities. The Company believes that the resolution of these claims will not have a material effect on the Company, based in part on the availability of insurance. However, the final outcome with respect to actions outstanding, pending or with respect to future claims cannot be predicted with certainty. Therefore there can be no assurance that their resolution will not have a material adverse effect on the Company's financial condition or results of operations.

Consumer Trends

Success of the Company depends in part on the Company's ability to respond to market trends and produce innovative products that anticipate and respond to the changing tastes and dietary habits of consumers. From time to time, certain products are deemed more healthy or less healthy and this can impact consumer buying patterns. The Company's failure to anticipate, identify or react to these changes or to innovate could result in declining demand for the Company's products, which in turn could cause a material adverse effect on the Company's financial condition and results of operations.

Environmental Regulation

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages, and negative publicity for the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites or to other matters or sites will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs. In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of waste which is or may be considered to be hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material adverse effect on the Company's financial condition and results of operations.

Employment Matters

The Company and its subsidiaries have approximately 8,000 full and part-time employees, which includes salaried and union employees many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each such jurisdiction having differing employment laws and practices and differing liabilities for employment violations, which may result in punitive or extraordinary damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have a material adverse effect on the Company's financial condition and results of operations. Furthermore, if a collective agreement covering a significant number of employees or involving certain key employees were to expire leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations.



Pension Plan Assets and Liabilities

In the normal course of business, the Company provides post-retirement pension benefits to its employees under both defined contribution and defined benefit pension plan arrangements. The funded status of the plans significantly affects the net periodic benefit costs of the Company's pension plans and the ongoing funding requirements of those plans. Among other factors, changes in interest rates, mortality rates, early retirement rates, investment returns and the market value of plan assets can affect the level of plan funding, cause volatility in the net periodic pension cost and increase the Company's future funding requirements. Any increase in pension expense or funding requirements could have a material adverse impact on the Company's financial condition and results of operations.

Direct Store Delivery Disruptions

A significant portion of the Company's fresh bakery products are distributed through a direct store delivery system using independent distributors. Although appropriate contractual arrangements are in place with these distributors, a negative change in the Company's relations with them, changes in regulations or an adverse ruling by regulatory agencies regarding the Company's independent distributorship program or claims against the Company for the actions of the independent distributors could materially affect the Company's results of operation and financial condition.

Competitive Industry Environment

The food industry is intensely competitive. Competition is based on product availability, product quality, price, effective promotions and the ability to target changing consumer preferences. The Company experiences price pressure from time to time as a result of a competitor's promotional efforts. Increased competition could result in reduced sales, margins, profits and market share all of which could have a material adverse impact on the Company's financial condition and results of operations.

CRITICAL ACCOUNTING ESTIMATES

The preparation of the Company's consolidated financial statements requires management to make certain estimates and assumptions. The estimates and assumptions are based on the Company's experience combined with management's understanding of facts and circumstances at the time. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require a significant or complex judgement on the part of management. The following is a summary of certain accounting estimates or policies considered to be critical and that require significant or complex judgement by the Management of the Company.

Goodwill and Intangible Assets Valuation

Goodwill is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the carrying value of a reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value. The Company determines the fair value of its reporting units for accounting purposes based on a capitalization of earnings approach, corroborated by other techniques such as comparison to market values. The estimates of earnings used in the evaluation of goodwill are consistent with plans and estimates that are presented annually to the board of directors. Indefinite life intangibles are tested for impairment annually in the fourth quarter and, also as required, if events occur that indicate it is more likely than not the carrying value has been impaired. The fair value of indefinite life intangibles is determined based on a "royalty savings approach", that is a discounted cash flow method. The estimates of fair value include projected future sales, terminal growth rates, royalty rates and discount rates. The impairment tests for indefinite life intangible assets and goodwill were performed in 2009 and no impairment was identified.

Reserve for Bad Debts

The Company establishes an appropriate provision for uncollectible or doubtful accounts. Estimates of recoverable amounts are based on management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including industry conditions and changes in individual customer financial condition. To the extent that actual losses on uncollectible accounts differ from those estimated in the Company's provision, both accounts receivable and operating earnings will be affected.

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Provisions for Inventory

Management makes estimates as to the future customer demand for our products when establishing the appropriate provisions for inventory. In making these estimates, management considers product life of inventory, and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory values are lower, thus reducing the risk of material misstatement in realizable value. However, in the fresh and prepared meats businesses, code dates are very important in the determination of realizable value, and inventory values are significant. Management ensures that systems are in place to highlight and properly value inventory that may be approaching best before code dates. To the extent that actual losses on inventory differ from those estimated, both inventory and operating earnings will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that in many cases include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of volume sales for the relevant period and the historical promotional expenditure rate compared to contracted rates. As such arrangements are complex and there are a significant number of customers and products affected, management has systems and processes in place to estimate and value provisions incurred to value these contingent obligations. To the extent that payments on trade discounts differ from estimates of the related liability, both accrued liabilities and operating earnings will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities. Management employs external experts to advise them when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. Significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and benefit plan expenses are as follows:

	2009	2008
Discount rate used to calculate net benefit plan expense	**6.50%**	5.25%
Discount rate used to calculate year end benefit obligation	**5.75%**	6.50%
Expected long-term rate of return on plan assets	**7.25%**	7.50%
Rate of compensation increase	**3.50%**	3.50%

A 1% change in health care cost trend would not have a significant impact on the year end obligation or the 2009 current service and interest costs.

Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and tax planning opportunities available to the Company in the jurisdictions in which it operates. Significant judgement is required in determining income tax provisions and evaluating the need for valuation allowances, if applicable. The calculation of current and future income tax balances, as well as any related valuation allowances as applicable, requires management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite management's opinion that tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.



Reserves for Restructuring and Other Related Costs

The Company evaluates accruals related to restructuring and other related costs at each reporting date to ensure these accruals are still appropriate. As the Company has been involved in a significant amount of transformation and restructuring of businesses and assets in the past several years, these provisions and accruals can be significant and are prepared using estimates of the costs of future activities. In certain instances, management may determine that these accruals are no longer required because of efficiencies in carrying out restructuring and other related activities. In certain circumstances, management may determine that certain accruals are insufficient as new events occur or as additional information is obtained. These costs and provisions are separately identified and disclosed in the Company's financial statements.

CHANGE IN ACCOUNTING POLICIES

Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to consider its own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments. The adoption of EIC 173, which was adopted on a retrospective basis without restatement of prior periods did not have a material impact on the Company's financial statements.

In 2008, the Canadian Institute of Chartered Accountants ("CICA") issued Handbook Section 3064, "Goodwill and Intangible Assets" ("CICA 3064"). CICA 3064, which replaces Section 3062, "Goodwill and Other Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. The Company adopted this standard on a retrospective basis on January 1, 2009. The adoption of the new standard did not have a material impact on the Company's financial statements.

In June 2009, the CICA amended Section 3862, "Financial Instruments – Disclosures", to include additional disclosure requirements about fair value measurement for financial instruments and liquidity risk disclosures. These amendments require a three-level hierarchy that reflects the significance of the inputs used in making the fair value measurements. Each level is based on the transparency of the inputs used to measure the fair values of assets and liabilities:

Level 1 – inputs are unadjusted quoted prices of identical instruments in active markets.

Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3 – one or more significant inputs used in a valuation technique are unobservable in determining fair values of the instruments.

Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value. The Company has complied with the new disclosure requirements beginning in 2009 and this disclosure is presented in Note 9.

RECENT ACCOUNTING PRONOUNCEMENTS

In January 2009, the CICA issued Handbook Section 1582, "Business Combinations" ("CICA 1582"). CICA 1582 requires that all assets and liabilities of an acquired business will be recorded at fair value on the acquisition and is consistent with International Financial Reporting Standards ("IFRS"). Obligations for contingent considerations and contingencies will also be recorded at fair value at the acquisition date. The standard also states that acquisition-related costs will be expensed as incurred and that restructuring charges will be expensed in the periods after the acquisition date. The Section applies prospectively to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period on or after January 1, 2011 with earlier adoption permitted.

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In January 2009, the CICA issued Handbook Section 1601, "Consolidations" ("CICA 1601"), and Section 1602, "Non-controlling Interests" ("CICA 1602"). CICA 1601 establishes standards for the preparation of consolidated financial statements. CICA 1602 establishes standards for accounting for a non-controlling interest in a subsidiary in consolidated financial statements subsequent to a business combination. The new standards are consistent with the requirements of IFRS. These standards apply to interim and annual consolidated financial statements relating to fiscal years beginning on or after January 1, 2011 with earlier adoption permitted. The Company is currently assessing the impact of the new standard on its financial statements.

In February 2008, the CICA announced that Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS") for fiscal years beginning on or after January 1, 2011. The Company will issue its financial statements in the first quarter of 2011 in accordance with IFRS including comparative data for 2010.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

The Company's disclosure controls and procedures are designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is made known to management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized and reported within the time periods specified in applicable securities legislation.

The Company's management, under the direction and supervision of the Company's Chief Executive Officer and Chief Financial Officer, are also responsible for establishing and maintaining internal control over financial reporting. These controls are designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with Canadian GAAP.

The Company's Chief Executive Officer and Chief Financial Officer, have evaluated, or caused to be evaluated under their supervision, the effectiveness of the Company's internal control over financial reporting and disclosure controls and procedures as at December 31, 2009 and have concluded that such controls and procedures are effective.

There have been no changes in the Company's internal control over financial reporting during the period beginning on October 1, 2009 and ended on December 31, 2009 that has materially affected, or is reasonably likely to materially affect, its internal control over financial reporting.

INTERNATIONAL FINANCIAL REPORTING STANDARDS

For fiscal years beginning on or after January 1, 2011, Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS"). While IFRS uses a conceptual framework similar to Canadian GAAP, there are significant differences in accounting policies that must be evaluated. IFRS will also require more disclosures than Canadian GAAP. The Company will issue its financial statements in the first quarter of 2011 in accordance with IFRS including comparative data for 2010.

In order to meet the requirement of transition to IFRS, the Company has established an enterprise-wide project team and project plan. The project philosophy is to align with current accounting practices and policies, where possible, to minimize the impact of any changes to the business. Regular reporting of the progress on the IFRS conversion project is provided to senior management and the Audit Committee of the Board of Directors.

The Company's IFRS conversion project plan is comprised of three main phases: initial diagnostic assessment, design, and implementation. The Company has completed the initial assessment phase of the plan and has identified and documented the key accounting and disclosure differences between Canadian GAAP and IFRS. The detailed assessment of the differences is substantially complete and the design and development of business process changes to meet the requirements of IFRS has commenced. The Company has reviewed policy alternatives under IFRS, including certain exemptions and elections available on transition under IFRS 1. Outlined below are the IFRS 1 elections the Company expects to make on transition to IFRS.



IFRS 1 Optional Exemptions

Business combinations

IFRS 1 provides an exemption that allows an entity to elect not to retrospectively restate business combinations prior to the transition date (January 1, 2010) in accordance with IFRS 3, Business Combinations. The Company will elect not to retrospectively restate those business combinations that occurred prior to the transition date.

Fair value as deemed cost

IFRS 1 allows an entity to elect to measure property, plant and equipment at fair value in the opening IFRS balance sheet. Fair value would then become the deemed cost of the item. Alternatively, an entity can retrospectively apply the historical cost model in International Accounting Standard ("IAS") 16, "Property, Plant and Equipment", to arrive at the carrying value of property, plant and equipment on the transition date. The Company expects to retroactively apply the cost model for property, plant and equipment for IFRS purposes on the transition date.

Employee Benefits

In accordance with IAS 19, "Employee Benefits", an entity may elect to use a "corridor" approach that leaves some actuarial gains and losses unrecognized. Retrospective application of this approach requires an entity to split the cumulative actuarial gains and losses from the inception of the plan until the date of transition to IFRS into a recognized portion and an unrecognized portion. Alternatively, an entity may elect to recognize all cumulative actuarial gains and losses at the date of transition to IFRS, even if it uses the corridor approach for later actuarial gains and losses, recognized after the transition date. The Company will elect to recognize all cumulative actuarial gains and losses that existed at the transition date in retained earnings for all of the Company's employee benefit plans.

Cumulative translation differences

Retrospective application of IFRS would require the Company to determine cumulative currency translation differences in accordance with IAS 21, "The Effects of Changes in Foreign Exchange Rates", from the date a foreign subsidiary or associate was formed or acquired. IFRS 1 allows an entity to elect not to calculate the translation difference retrospectively. Where this election is made, the cumulative translation balance for all foreign operations is set to zero at the transition date. The Company will elect not to retrospectively calculate the cumulative translation balances, so all of these balances will be reset to zero on the transition date.

Share-based payment transactions

IFRS 1 allows an entity to elect to be exempt from retrospectively applying the requirements of IFRS 2, "Share Based Payments" for awards that are vested or settled prior to the transition date. There are several differences between IFRS 2 and Canadian GAAP. For example, when a share-based award vests in installments over the vesting period (graded vesting), IFRS 2 requires each installment to be accounted for as a separate arrangement. Canadian GAAP allows an entity to treat the entire award as a pool, determine fair value using the average life of the instruments and then recognize the compensation expense on a straight-line basis over the vesting period. Since the Company recorded share-based payment transactions in this manner, retrospective application of IFRS 2 would require the Company to revalue all of its prior share-based payment transactions. Therefore, the Company will elect to apply this exemption.

Decommissioning liabilities included in the cost of property, plant and equipment

IFRS 1 allows an entity to elect not to retrospectively apply the requirements of IFRIC 1, "Changes in Existing Decommissioning, Restoration and Similar Liabilities". The Company will elect not to retrospectively recognize changes to these liabilities under IFRIC 1 that may have occurred prior to the transition date.

Borrowing costs

IAS 23, "Borrowing Costs", requires an entity to capitalize borrowing costs relating to qualifying assets. Under IFRS 1, an entity may elect to apply the transitional provisions of IAS 23, which allow an entity to choose the date to apply the capitalization of borrowing costs relating to all qualifying assets as at either the transition date (January 1, 2010 for the Company) or an earlier date. The Company will elect to apply the transitional provisions of IAS 23 and will choose the transition date as the date to commence the capitalization of borrowing costs to all qualifying assets.

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IFRS 1 Mandatory Exemptions

Hedge accounting

Hedge accounting may only be applied prospectively from the transition date to transactions that meet the hedge accounting criteria in IAS 39, "Financial Instruments – Recognition and Measurement", at that date. Hedging relationships cannot be designated retrospectively and the supporting documentation cannot be created retrospectively.

Non-controlling interests

An entity must apply the requirements of IAS 27, "Consolidated and Separate Financial Statements", which relate to non-controlling interests prospectively from the transition date.

Estimates

Estimates previously determined under Canadian GAAP cannot be revised due to the application of IFRS except where necessary to reflect differences in accounting policies.

Key Accounting Differences Between Canadian GAAP and IFRS

Changes in accounting policies upon adoption of IFRS are likely, but at this time the Company cannot quantify the total or net impact that the future adoption of IFRS will have on its consolidated financial statements and operating performance measures. The International Accounting Standards Board has significant ongoing projects that could affect the ultimate differences between Canadian GAAP and IFRS and the impact on the Company's consolidated financial statements. Outlined below are the key areas where changes in accounting policy are expected that may affect the Company's consolidated financial statements.

Securitization programs

IFRS has different requirements than Canadian GAAP to allow off-balance sheet treatment of accounts receivable securitization programs. Absent restructuring of the agreements, the Company's current programs may not qualify for off-balance sheet treatment under IFRS.

Employee benefits

IAS 19, "Employee Benefits", requires past service costs of defined benefit pension plans to be expensed on an accelerated basis, with vested past service costs expensed immediately and unvested past service costs recognized on a straight-line basis until the benefits become vested. Under Canadian GAAP, past service costs are generally amortized on a straight-line basis over the average remaining service period of employees active at the date of the amendment.

IAS 19 also requires an entity to make an accounting policy choice regarding the recognition of actuarial gains and losses. The three options that are available are as follows: delayed recognition using a "corridor" approach; immediate recognition through the income statement; and, immediate recognition through Other Comprehensive Income. The Company has not yet finalized this accounting policy choice.

Borrowing costs

IAS 23, "Borrowing Costs", requires the capitalization of borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset as part of the cost of that asset. Under Canadian GAAP, the Company's accounting policy is to expense these borrowing costs as incurred. The impact of this change will be a periodic reduction in interest expense during periods where significant capital projects are under way. The Company is not able to estimate the impact of this change on its future financial results.

Business combinations

IFRS 3, "Business Combinations", does not allow the accrual of restructuring provisions pursuant to an acquisition. On transition to IFRS, any existing restructuring accruals that were the result of an acquisition will be written off through retained earnings. There will be no change on transition as a result of the IFRS 1 elections taken by the Company. The Company is not able to estimate the impact of this change on future financial results.



Impairment of assets

Canadian GAAP generally uses a two-step approach to impairment testing, first comparing asset carrying values with undiscounted future cash flows to determine whether impairment exists, and then measuring any impairment by comparing asset carrying values with their fair values. IAS 36, Impairment of Assets, uses a one-step approach to determine if impairment exists and for measuring that impairment, by comparing asset carrying values to the higher of fair value less costs to sell and value in use (determined using discounted future cash flows). This can potentially result in asset impairments, where the carrying values of assets were previously supported under Canadian GAAP on an undiscounted cash flow basis, but would not be supported on a discounted cash flow basis. The Company cannot quantify the impact, if any, of this difference at this time.

Additionally, for the purposes of asset impairment testing, Canadian GAAP requires assets to be grouped at the lowest level for which identifiable cash flows are largely independent of the cash flows of other assets and liabilities. IFRS requires that assets be tested for impairment at the level of the cash generating unit, which is the lowest level of assets that generate largely independent cash inflows. In many cases, this requirement will result in a lower level grouping of assets, which could result in the identification of impairment under IFRS for assets that were not considered impaired under Canadian GAAP. The Company is not able to estimate the impact of this potential change in measurement criteria to its financial results at this time.

OTHER MATTERS

On February 23, 2010, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on April 1, 2010 to shareholders of record at the close of business on March 10, 2010. Unless indicated otherwise by the Company, in writing at or before the time the dividend is paid, these dividends will be considered eligible dividends for the purposes of the "Enhanced Dividend Tax Credit System".

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the management of the Company. Such statements include, but are not limited to, statements with respect to the Company's objectives and goals, as well as statements with respect to the Company's beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements with respect to the timing and costs of the Company's plans to build a new scale fresh bakery plant in Southwestern Ontario and the closure of three existing older and smaller facilities located in Ontario, the timing and effectiveness of the installation of the new SAP systems software, the sufficiency and source of funds for ongoing business requirements and capital investments, expectations regarding the sufficiency of the allowance for uncollectible accounts, analysis regarding the sensitivity of the business to changes in interest rates and exchange rates, expectations regarding environmental expenditures and the outcome of outstanding litigation and the impact of recently adopted accounting pronouncements and the Company's expectations regarding the impact on the Company of the changeover plan from Canadian GAAP to IFRS. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general is based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, British and United States economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Management's Discussion and Analysis

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to business acquisitions and capital expansion projects;
- the risks posed by compliance with extensive government regulation;
- the risks posed by litigation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks associated with the Company's independent distributors; and
- the risks posed by competition.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" on page 16 of this document. The reader should review such section in detail.

The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at **www.sedar.com**.